

24PSCV04081 24PSCV04081

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Case Number: 24PSCV04081 Hearing Date: September 22, 2026 Dept: H

He v. Wang, et al.,

Case No. 24PSCV04081

ORDER ON MOTION

LEAVE TO AMEND AND MOTION FOR SUMMARY JUDGMENT/ADJUDICATION

1. Plaintiff's Motion for

Leave to Amend First Amended Complaint is GRANTED.

2. Defendant's Motion for

Summary Judgment/Adjudication is DENIED as MOOT.

Background

Plaintiff Shan He

("Plaintiff") alleges as follows:

Michael Wang a/k/a Xiaojing Wang

("M. Wang") and Yueh Ho ("Ho") are married and both trustees and beneficiaries of the H&W Family Trust dated September 25, 2023 ("Trust"); Eva Wang ("E. Wang") and Patrick Wang ("P. Wang") are M. Wang's adult children and Trust beneficiaries. M. Wang is the owner, president, chief executive officer and sole or majority shareholder of Sinola Restaurant, LLC ("Sinola") and the owner, president, chief executive officer and sole or majority shareholder of Crossgates Property LLC ("Crossgates").

Between December 2016 and January 2017, Plaintiff loaned \$1,000,000.00 to M. Wang, who agreed to assist Plaintiff with the application of a green card.

On/about February 11, 2017, M. Wang executed a "Payment Guaranty Agreement" ("February 11, 2017 Agreement"), wherein M. Wang agreed to repay Plaintiff \$1,000,000.00 within 6 months of one of the following events occurring: (1) Plaintiff obtaining her official green card; (2) Plaintiff withdrawing her application for green card or (3) Plaintiff's green card application being denied "for reasons of the company (Sinola Restaurant LLC) or the U.S. government." The Agreement further provided that M. Wang guaranteed the repayment with his personal property and Sinola's assets and that he would pay interest of \$20,000.00/year to an account designated by Plaintiff by December 31 of each year.

In October 2018, M. Wang paid Plaintiff interest for the years of 2017 and 2018, in the amount of \$40,000.00. Plaintiff subsequently decided to withdraw her green card application and formally notified M. Wang of same on November 9, 2018. Plaintiff and M. Wang reached an agreement on/about November 15, 2018, wherein M. Wang confirmed that the green card application was withdrawn as of November 15, 2018. M. Wang agreed that, per the February 11, 2017 Agreement, he should repay the \$1,000,000.00 within 6 months from November 15, 2018, but claimed to need more time, and so confirmed in writing that he would provide a written refund schedule with a specific timeline and dates.

M. Wang thereafter acknowledged his obligation to repay the monies (i.e., on/about December 18, 2018, May 5, 2019, May 11, 2020, and December 5, 2020). On/about January 20, 2021, Plaintiff discovered that M. Wang had blocked Plaintiff and her parents on all communication platforms, preventing her from locating and contacting him. Plaintiff's ability to act was constrained by COVID-19 restrictions between February 13, 2020-December 13, 2022 and by her mother's severe health issues from 2017-2024. M. Wang and Ho set up Trust to hide their assets from Plaintiff. In or about March 2024, Trust purchased real properties located at 5387 and 5395 Crossgates Avenue in Las Vegas; said properties were then transferred to Crossgates for zero value. Additionally, Sinola made transfers of money or property to M. Wang, Ho, E. Wang, and P. Wang to avoid paying Plaintiff.

On April 9, 2025, Plaintiff filed a First Amended Complaint ("FAC"), asserting causes of action against Wang and Ho, individually and as Trustees of Trust, Eva, Patrick, Sinola, Crossgates and Does 1-25 for: (1) breach of written contract, (2) fraud, (3) breach of personal guarantee, (4)

unlawful distributions, (5) actual fraudulent transfers, and (6) constructive fraudulent transfers.

On June 17, 2026, Defendants Michael Wang, Yueh Ho, Eva Wang, Sinola Restaurant, LLC, and Crossgates Property LLC, filed the instant motion for summary judgment or in the alternative, summary adjudication. On September 2, 2026, Plaintiff filed his opposition. On September 9, 2026, Defendants filed their reply.

Pursuant to a July 2, 2026 Order on Motion to Strike, the Court determined that a notice of errata was an inappropriate vehicle to amend the complaint and that Plaintiff's request for leave to amend would need to be made via a separately noticed motion. The proposed Second Amended Complaint (SAC) (Lasser Decl., ¶ 3, Exh. A) aims to accomplish three primary goals: (1) align the operative complaint with the underlying evidence in the action; (2) correct a clerical/typographical error related to paragraph 31 in the First Amended Complaint; and (3) remove the second cause of action (Fraud) pursuant to the August 2025 Order on Demurrer, sustaining Defendants' demurrer as to the second cause of action.

For the reasons stated herein, Plaintiff's motion for leave to amend is GRANTED; as such, Defendants' motion for summary judgment/adjudication is DENIED as moot.

1. Plaintiff's Motion for Leave to Amend First Amended Complaint

A complainant may obtain leave from the trial court to amend his pleading beyond the number of amendments allowed under Code of Civil Procedure section 472 (a) by filing a noticed motion.¿

Cal. Rules of Court, Rule 3.1324.¿ The motion must be accompanied by a declaration stating: (1) the effect of the amendment; (2) why the amendment is necessary and proper; (3) when the facts giving rise to the amended allegations were discovered; and (4) why the request was not made earlier.¿

Cal. Rules of Court, Rule 3.1324 (b).¿ "Any judge, at any time before or after commencement of trial, in the furtherance of justice, and upon such terms as may be proper, may allow the amendment of any pleading or pretrial conference order."¿ Code Civ. Proc. § 576. In the absence of a showing of

prejudice from the opposing side, the trial court ordinarily lacks discretion to deny a motion to amend a pleading. (Honig v. Financial Corp. of America (1992) 6 Cal.App.4th 960, 965 ("Honig").)

In opposition, Defendants argue that the proposed amendment is merely a bad-faith attempt to perpetuate Plaintiff's and counsel's intentional mischaracterization of a non-existent written acknowledgment of a debt in order to pull time-barred claims back within the statute of limitations. They contend that leave to amend should not be used to continue that misrepresentation, prejudice Defendants' pending motion for summary judgment, or manufacture a section 360 acknowledgment of a guaranty debt that the cited documents themselves do not contain.

The Court determines that Plaintiff's motion satisfies the requirements under California Rules of Court Rule 3.1324. Plaintiff's motion is accompanied by an attorney declaration explaining that the primary purpose of filing the Second Amended Complaint is to correct clerical mistakes in FAC, align the operative complaint with the evidence produced in this action, and remove the fraud cause of action. (Lasser Decl., ¶ 3.) Paragraph 31 of the First Amended Complaint inadvertently states December 5, 2020. The correct date is December 5, 2021. (Id. ¶ 5.) Defendants have been aware that Plaintiff's claim is based in part upon Defendant Wang's December 5, 2021 written communication concerning the alleged debt since well before filing the instant motion for leave to amend (and likely as early as November 2024 when the original complaint was filed). Plaintiff subsequently served supplemental discovery responses identifying the December 5, 2021 communication, and Defendants questioned Plaintiff extensively regarding that communication during her October 7, 2025 deposition. (Id. ¶ 9.)

Plaintiff thus explains the effect of the proposed amendment, why the amendment is necessary and proper for Plaintiff to pursue all possible claims in this case, when the facts giving rise to the amended allegations were discovered, and why the request was not made earlier. (See Cal. Rules of Court, Rule 3.1324 (b).)

Defendants argue the motion should be denied because the proposed amendment does not cure that problem. They contend that even if the First Amended Complaint's paragraph 31 is changed from 2020 to 2021, Plaintiff's own translation shows there is still no document that says what Plaintiff and her counsel claim, as Plaintiff's

produced certified translation contains no December 5, 2020 writing at all. Defendants claim the amendment is simply an effort to avoid the inevitable adverse consequences of Defendants' dispositive motion, if granted.

The Court determines that Defendants have failed to show actual prejudice will result from allowing Plaintiff to file the SAC. The motion for leave to amend is granted.

The Court has discretion to deny leave to amend where a proposed amendment fails to state a valid cause of action as a matter of law and the defect cannot be cured by further amendment. (*California Casualty General Ins. Co. v. Superior Court* (1985) 173 Cal.App.3d 274, 281.) The application for leave to amend should be made as soon as the need to amend is discovered. The closer the trial date, the stronger the showing required for leave to amend. If the party seeking the amendment has been dilatory, and the delay has prejudiced the opposing party, the Court has the discretion to deny leave to amend. (*Hirsa v. Superior Court* (1981) 118 Cal.App.3d 486, 490.) Prejudice exists where the amendment would require delaying the trial, resulting in loss of critical evidence, or added costs of preparation such as an increased burden of discovery. (*Magpali v. Farmers Group, Inc.* (1996) 48 Cal.App.4th 471, 486-488.) Here, no trial date has been set.

Defendants argue the Court should deny Plaintiff's motion because Plaintiff waited to file the motion until July 27, 2026, after Defendants filed their motion for summary judgment on June 17, 2026 and after the Court struck Plaintiff's Notice of Errata on July 2, 2026. Defendants note that they prepared their motion, supporting declarations, Request for Judicial Notice, and Separate Statement based on the operative FAC. They contend that they would be prejudiced by the granting of the motion as it would warrant additional motion practice, expense, and delay.

However, Defendants have not shown prejudice. Where the opposing party is already aware of the corrected information, there is no prejudice. (See *Walker v. Belvedere* (1993) 16 Cal. App. 4th 1663, 1670 [no prejudice where defendant "was on notice throughout of the circumstances surrounding [Plaintiff's] claim and the [] liability theory added nothing previously unknown or unexpected"].) On April 9, 2025, Plaintiff filed the First Amended Complaint. On March 4, 2026, Plaintiff

filed the Notice of Errata in an attempt to solve Plaintiff's perceived issues with the FAC. On March 26, 2026, Defendants filed the motion to strike Plaintiff's errata and thereafter filed their motion for summary judgment on June 17, 2026. While the Court granted Defendants' motion to strike Plaintiff's notice of errata on July 2, 2026, it is not surprise that following that order, Plaintiff would seek leave to amend via a regularly noticed motion.

The motion for leave to amend is GRANTED.

2. Defendants' Motion for Summary Judgment/Adjudication

On June 17, 2026, Defendants Michael Wang, Yueh Ho, Eva Wang, Sinola Restaurant, LLC, and Crossgates Property LLC ("Defendants") filed a Motion for Summary Judgment, or in the alternative, for Summary Adjudication on all the causes of action in Plaintiff Shan He's ("Plaintiff") First Amended Complaint ("FAC").

Based on the ruling on the motion for leave to amend, Defendants' motion is rendered moot.